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Case Number: 22STCV03159 Hearing Date: August 18, 2026 Dept: 514

A Plus Fabric, Inc. v. Jung

22STCV03159

1. Demurrer of Elliot Tishbi and Jefferson Esguerra to First Amended
Cross-Complaint

2. Motion of Elliot Tishbi and Jefferson Esguerra to Strike

3. Demurrer of Dietz International Public Adjusters of California, Inc. to
First Amended Cross-Complaint

4. Motion of Dietz International Public Adjusters of California, Inc. to Strike

5. Motion of Seung Jae Baek aka Andrew Baek to Compel Elliot Tishbi to Provide
Further Responses to Requests for Production of Documents

6. Motion of Seung Jae Baek aka Andrew Baek to Compel Jefferson Esguerra to
Provide Further Responses to Requests for Production of Documents and Requests
for Admission

7. Motion of Seung Jae Baek aka Andrew Baek to Compel Dietz International
Public Adjusters of California, Inc. to Provide Verified Initial Responses to
Requests for Production of Documents

Tentative Ruling

The demurrers are sustained in part and

overruled in part. The motions are granted in part and denied in part. Please see below for more details.

Background

This case arises out of (among other things) alleged fraudulent transfers. The procedural history of the case is long and complicated, and the Court will not attempt to summarize here.

The original complaint in this action was filed on January 26, 2022. The operative complaint, which is the Third Amended Complaint (the “TAC”), was filed on December 29, 2025. In the TAC, A Plus Fabric, Inc. (“A Plus”), Q Textile, Inc. (“Q Textile”), and Elliot Tishbi (“Tishbi”) (collectively, “Plaintiffs”) assert a total of nine causes of action against a large number of defendants, including Seung Jae Baek aka Andrew Baek (“Baek”).

In a First Amended Cross-Complaint (the “FACC”), filed on March 27, 2026, Baek names as cross-defendants Tishbi, Jefferson Esguerra (“Esguerra”), Stephen J. Jung (“Jung”), Curious Apparel, Dietz International Public Adjusters of California, Inc. (“Dietz”), and Roes 1 through 20 and asserts causes of action for (1) breach of contract; (2) fraudulent misrepresentation; (3) negligence (violation of statutory duty under Penal Code section 550); (4) unjust enrichment; and (5) declaratory relief.

(Baek submitted a Second Amended Cross-Complaint on April 22, but the filing was rejected as Baek did not seek or obtain leave from the Court for the filing. The FACC is Baek’s operative cross-complaint.)

Currently before the Court and set for hearing on August 18, 2026, are seven matters (by the Court’s count).

First, on May 1, 2026, Cross-Defendants Tishbi and Esguerra filed a demurrer to the FACC. Baek filed an opposition on June 18. Tishbi and Esguerra filed a reply on June 24.

Second, on May 4, 2026, Cross-Defendants

Tishbi and Esguerra filed a motion to strike the punitive damages allegations in the FACC. Baek filed an opposition on June 18. Tishbi and Esguerra filed a reply on June 24.

Third, on May 14, 2026, Cross-Defendant Dietz filed a demurrer to the FACC. Baek filed an opposition on June 22. Dietz filed a reply on June 26.

Fourth, on May 15, 2026, Cross-Defendant Dietz filed a motion to strike certain allegations in the FACC. Baek filed an opposition on June 22. Dietz filed a reply on June 26.

Fifth, on June 8, 2026, Baek filed a motion for an order compelling Cross-Defendant Tishbi to serve further responses to Requests for Production (Set One) and to produce responsive documents. Baek also seeks sanctions. Tishbi filed an opposition, and his own request for sanctions, on June 18. Baek filed a reply on June 23 and a notice of supplemental authority on June 24.

Sixth, on June 10, 2026, Baek filed a motion for an order compelling Cross-Defendant Esguerra to serve further responses to Requests for Production (Set One) and Requests for Admission (Set One). Baek also seeks sanctions. Esguerra filed an opposition, and his own request for sanctions, on June 24. Baek filed a reply on June 29.

Seventh, on June 15, 2026, Baek filed a motion for an order compelling Cross-Defendant Dietz to serve verified initial responses to Requests for Production (Set One) and to produce responsive documents. Baek also seeks sanctions. Dietz filed an opposition on July 17, and Baek filed a reply on July 22.

MOTION NO. 1: DEMURRER OF
CROSS-DEFENDANTS TISHBI AND ESGUERRA TO FIRST AMENDED CROSS-COMPLAINT (Demurrer filed May 1, 2026)

Legal Standard

Code of Civil Procedure section 430.10 provides:

“The party against whom a complaint or cross-complaint has

been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

...

(e) The pleading does not state facts sufficient to constitute a cause of action.

(f) The pleading is uncertain. As used in this subdivision, “uncertain” includes ambiguous and unintelligible. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (Centinela Freeman Emergency Medical Associates v. Health Net of California (2016) 1 Cal.5th 994, 1010; Blank v. Kirwan (1985) 39 Cal.3d 311, 318; accord Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924; Marina Pacific Hotel and Suites v. Fireman’s Fund Insurance Company (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081; Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also C.A. v. William S. Hart High School Dist. (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint

“is sufficient if it alleges ultimate rather than evidentiary facts.” (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (Estes v. Eaton Corp. (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 Weil & Brown, supra, ¶ 6:124.)

A plaintiff is required to plead only “the essential facts of [its] case” that are sufficient “to acquaint a defendant with the nature, source and extent of [the] cause of action.” (Doe, supra, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (Id. at p. 551 fn. 5.) But a plaintiff need not allege “each evidentiary fact that might eventually form part of plaintiff’s proof” at trial. (C.A., supra, 53 Cal.4th at p. 872.)

A demurrer for uncertainty under Code of Civil Procedure section 430.10, subdivision (f), is “disfavored” and will be sustained “only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors (2019) 38 Cal.App.5th 677, 695; accord Mahan v. Charles W. Chan Ins. Agency, Inc. (2017) 14 Cal.App.5th 841, 848, fn. 3.) A complaint need not be “a model of clarity” and must only contain sufficient allegations to put the defendants on notice of the claims against them. (A.J. Fistes Corp., supra, 38 Cal.App.5th at p. 695.) As the Court of Appeal has observed, “where a complaint is in some respects uncertain, ... ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of Cal., Inc. (1993) 14 Cal.App.4th 612, 616; see also 1 Weil & Brown, supra, ¶¶ 7:85-7:86.)

A demurrer can be sustained only when it disposes of an entire cause of action. (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when “there is a reasonable possibility that the defect can be cured by amendment.” (Centinela Freeman, supra, 1 Cal.5th at p. 1010; Blank, supra, 39 Cal.3d at p. 318; Shaeffer v. Califia Farms (2020) 44

Cal.App.5th 1125, 1145.)

Discussion

Cross-Defendants Tishbi and Esguerra demur to each of the five causes of action in the FACC.

The Court considers each in turn.

First Cause of Action (for Breach of Contract)

The First Cause of Action in the FACC is for breach of contract. It is alleged against Cross-Defendant Tishbi but not Cross-Defendant Esguerra.

The elements of a cause of action for breach are contract are: “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821; see also, e.g., Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Baek alleges that he and Tishbi entered into a Mutual Non-Disclosure Agreement (the “MNDA”) in May 2019. (FACC, ¶¶ 13-14, 42 & Exh. A.) In paragraph 6 of the MNDA, Tishbi agreed for a company named Curious Apparel to pay Baek \$2.6 million in “accounts payable” within six months and to pay Baek an additional \$3.0 million in an “initial investment” within 36 months; in return, Baek agreed to release any ownership interest in “multiple entities including but not limited to: Curious Apparel” (FACC, Exh. A, ¶ 6; see also FACC, ¶¶ 13-14, 41-43.) Baek alleges that he performed his obligations under the MNDA, that Tishbi did not, and that Baek sustained damages as a result of Tishbi’s breach. (FACC, ¶¶ 1, 44-45; Prayer for Relief, item 1.)

Taking these allegations as true (as the Court must on demurrer), Baek has alleged in the FACC a breach of contract cause of action against Tishbi. Although not express in the MNDA or the FACC, it is fairly implied (at least at the pleading stage) that Baek is alleging that Tishbi had an interest in Curious Apparel, that Tishbi

had an obligation to use his efforts to arrange for Curious Apparel to deliver the consideration outlined in the contract to Baek, and that Tishbi failed to do so.

The Court reaches this conclusion without regard to Baek's alter ego allegations. Baek alleges that Tishbi was a party to the contract and breached his obligations under the contract. Baek may perhaps attempt to argue that, in addition to Baek being liable for his own breach, Curious Apparel (although not a party to the contract) was also obligated to make payments under the MNDA and failed to do so, and that Tishbi is liable for Curious Apparel's breach under an alter ego theory. But the Court need not reach, and does not reach, the issue of the viability of that theory of recovery under an alter ego theory; Baek has sufficiently alleged (for purposes of pleading) a direct breach of contract cause of action against Tishbi in the FACC without regard to alter ego.

This cause of action is not uncertain.

The demurrer to the First Cause of Action is overruled.

Second Cause of Action (for
Fraudulent Misrepresentation)

The Second Cause of Action in the FACC is for fraudulent misrepresentation. It is alleged against Cross-Defendants Tishbi and Esguerra (and others).

"One who willfully deceives another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers." (Civ. Code, § 1709.)

The Civil Code recognizes four types of fraud: (1) an intentional misrepresentation; (2) a negligent misrepresentation; (3) concealment; and (4) promissory fraud. (Civ. Code, § 1710.)

The elements of a cause of action for an intentional misrepresentation are: (1) that the defendant made a false representation of fact to plaintiff; (2) that the defendant knew that the

representation was false; (3) that the defendant intended that the plaintiff rely on the representation; (4) that the plaintiff reasonably relied on the defendant's representation; and (5) that the plaintiff's reliance on the defendant's representation was a substantial factor in causing harm to the plaintiff. (Engalla v. Permanente Medical Group (1997) 15 Cal.4th 951, 974; Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166; Philipson & Simon v. Gulsvig (2007) 154 Cal.App.4th 347, 363; Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294; see also Civ. Code, § 1710, subd. (1); CACI No. 1900.)

Each element of a cause of action for fraud must be pleaded with particularity. (Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979, 993; Lazar v. Super Ct. (1996) 12 Cal.4th 631, 645; Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184; Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1090-1092.) "[G]eneral and conclusory allegations do not suffice." (Lazar, supra, 12 Cal.4th at p. 645.)

For a claim of fraud based on affirmative misrepresentations, "the particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar, supra, 12 Cal.4th at p. 645.)

Baek alleges that he was injured as a result of a scheme by Tishbi and Esguerra (and others) to commit insurance fraud against insurance carrier Northfield, which ultimately paid out more than \$4.25 million in fraudulent claims submitted by Tishbi and Esguerra. (FACC, 19-29, 57-68.) Baek alleges that Tishbi and Esguerra obtained legitimate and genuine invoices from him, falsified them, and then submitted them (directly or indirectly) to the carrier. (FACC, ¶¶ 21-22, 29, 59-61, 68.)

Baek certainly alleges that Tishbi and Esguerra were involved in a fraudulent insurance scheme. And Baek alleges that the fraudulent insurance scheme of Tishbi and Esguerra set in motion a series of actions that

caused damage to him, such as being accused of providing fake invoices to Tishbi. (FACC, ¶¶ 33-36, 70-72.) But Baek does not allege the elements of a cause of action for common law fraudulent misrepresentation. Baek does not allege that he himself was on the receiving end of the fraudulent misrepresentations (the false invoices submitted to the insurance carrier) or that he himself actually and reasonably relied (to his detriment) on the false representations made by Tishbi and Esguerra as part of their alleged scheme to defraud the insurance carrier.

The demurrer to the Second Cause of Action is sustained. As this is the first demurrer to Baek's cross-complaint that is being sustained, the Court grants Baek leave to amend.

Third Cause of Action (for Negligence)

The Third Cause of Action in the FACC is for negligence, and specifically for negligence per se: Baek alleges that Cross-Defendants Tishbi and Esguerra (and others) breached their duty under Penal Code section 550 not to submit false or fraudulent insurance claims.

The basic elements of a cause of action for negligence are: (1) the existence of a legal duty; (2) breach of that duty; (3) causation; and (4) resulting damages. (Brown v. USA Taekwondo (2021) 11 Cal.5th 204, 213; Kesner v. Superior Court (2016) 1 Cal.5th 1132, 1158; Romero v. Los Angeles Rams (2023) 91 Cal.App.5th 562, 567.)

Negligence

per se "is not a separate cause of action." (Turner v. Seterus, Inc. (2018) 27 Cal.App.5th 516, 534; accord Jones v. Awad (2019) 39 Cal.App.5th 1200, 1210; Millard v. Biosources, Inc. (2007) 156 Cal.App.4th 1338, 1353, fn.2; Quiroz v. Seventh Ave. Center (2006) 140 Cal.App.4th 1256, 1285.) Rather, the doctrine "creates an evidentiary presumption that affects the standard of care in a cause of action for negligence." (Turner, supra, 27 Cal.App.5th at p. 534.) It "codifies the rule that a presumption of negligence arises from the violation of a statute which was enacted to protect a class of persons of which the plaintiff is a member against the type of harm that the plaintiff suffered as a result of the violation. (Quiroz, supra, 140 Cal.App.4th at p. 1285.)

Here,

however, there is no basis set forth in the FACC to support Baek's contention that he is within the class of persons that the statute was enacted to protect. He did not receive a false insurance claim, he did not make a payment on a false insurance claim, and he was not in any other way involved in the review and processing of a false insurance claim.

The demurrer to the

Third Cause of Action is sustained. As

this is the first demurrer to Baek's cross-complaint that is being sustained, the Court grants Baek leave to amend.

Fourth Cause of Action (for Unjust Enrichment)

In the Fourth Cause of Action in the

FACC, Baek asserts an unjust enrichment claim against Tishbi, Esguerra, and other Cross-Defendants.

The case law in California is mixed on

the point of whether there is a cause of action for unjust enrichment. Numerous cases state that there is no cause of action for unjust enrichment under California law. (E.g., *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 206-207; *City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477-478; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370; *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793.)

Other cases, however, state that the "elements

for a claim of unjust enrichment are [1] receipt of a benefit and [2] unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Lyles

v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [citations omitted]; accord *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238; *Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593; *Lectodryer v. Seoulbank* (2000) 77 Cal.App.4th 723, 726.) These cases suggest (at the

least) that under some circumstances a plaintiff can state a cause of action for unjust enrichment.

The explanation for this apparent conflict is that, as courts have explained, “Whether termed unjust enrichment, quasi-contract, or quantum meruit, the equitable remedy of restitution when unjust enrichment has occurred” is available to a plaintiff and is “an obligation (not a true contract) created by the law without regard to the intention of the parties.” (City of Oakland, *supra*, 83 Cal.App.5th at pp. 477-478 [citations omitted]; accord *Sepanossian*, *supra*, 97 Cal.App.5th at pp. 206-207.) Unjust enrichment, courts have stated, is simply “a restitution claim.” (E.g., *Hill v. Roll International Corp.* (2011) 195 Cal.App.4th 1295, 1307.)

The Court also notes that whether a pleading states facts sufficient to constitute a cause of action is determined by the substance of the pleading, not the label or title of a cause of action provided by the pleader. (Sheehan v. San Francisco 49ers, Ltd. (2009) 45 Cal.4th 992, 998; *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39; *Adelman v. Associated International Ins. Co.* (2001) 90 Cal.App.4th 352, 359.)

Here, Baek alleges that in connection with the MNDA, he surrendered something of value (his claim to ownership of certain entities) but Tishbi did not provide the promised consideration. (FACC, ¶¶ 91-92.) Reading the FACC liberally, as the Court must on demurrer, Baek is seeking to rescind the MNDA and to obtain, as a remedy, either the ownership interests he surrendered or the monetary equivalent. (FACC, ¶ 92.) That is a sufficient pleading of a restitution claim against Tishbi, stated as an alternative to Baek’s cause of action for breach of express contract.

The cause of action, as alleged against Tishbi, is not uncertain.

Baek does not, however, include in his FACC facts sufficient to constitute a cause of action for restitution or unjust enrichment against Esguerra.

The demurrer of Tishbi to the
Fourth Cause of Action is overruled.

The demurrer of Esguerra to the
Fourth Cause of Action is sustained. Baek
does not allege Esguerra's involvement in the contract that underlies the
unjust enrichment claim against Tishbi. As this is the first demurrer to Baek's
cross-complaint that is being sustained, the Court grants Baek leave to amend.

Fifth Cause of Action (for
Declaratory Relief)

The Fifth Cause of Action in the FACC is for
declaratory relief against Tishbi, Esguerra, and other Cross-Defendants.

The elements of a cause of action for
declaratory relief are: "(1) a proper subject of declaratory relief, and (2) an
actual controversy involving justiciable questions relating to rights or
obligations of a party." (Childhelp, Inc. v. City of Los Angeles (2023)
91 Cal.App.5th 224, 235; see also Code Civ. Proc., § 1060; Lee v.
Silveira (2016) 6 Cal.App.5th 527, 546; Ludgate Ins. Co. v.
Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 605; Brownfield v.
Daniel Freeman Marina Hospital (1989) 208 Cal.App.3d 405, 410.) "A complaint for declaratory relief is legally sufficient
if it sets forth facts showing the existence of an actual controversy relating
to the legal rights and duties of the parties and requests that the rights and
duties of the parties be adjudged by the court." (Monterey Coastkeeper v. Central Coast
Regional Water Quality Control Board (2022) 76 Cal.App.5th 1, 13.) "[D]eclaratory relief operates to declare
future rights, not to address past wrongs." (Ibid.)

Baek
adequately alleges that there is an actual controversy between him and Tishbi
regarding their rights and obligations under the MNDA. (FACC, ¶¶ 94-96.) The cause of action, as alleged
against Tishbi, is not uncertain.

Baek does not, however, include
in his FACC facts sufficient to constitute a cause of action for declaratory
relief against Esguerra.

The demurrer of Tishbi to the
Fifth Cause of Action is overruled.

The demurrer of Esguerra to the Fifth Cause of Action is sustained. Baek does not allege Esguerra's involvement in the contract that underlies the declaratory relief claim against Tishbi. As this is the first demurrer to Baek's cross-complaint that is being sustained, the Court grants Baek leave to amend.

MOTION NO. 2: MOTION OF
CROSS-DEFENDANTS TISHBI AND ESGUERRA TO STRIKE PUNITIVE DAMAGES ALLEGATIONS IN
FACC (Motion filed May 4, 2026)

Legal Standard

Under Code of Civil Procedure section 435, "Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof." (Code Civ. Proc., § 435, subd. (b)(1).)

Code of Civil Procedure
section 436 provides:

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

(a) Strike out any irrelevant, false, or improper matter inserted in any pleading.

(b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court."

(Code Civ. Proc., § 436.)

In ruling on a motion to strike, the court must assume the truth of the properly pleaded facts in the complaint or other pleading. (Turman v. Turning Point of Central California, Inc. (2010) 191 Cal.App.4th 53, 63.)

Discussion

Tishbi and Esguerra move to strike the punitive damage allegations in paragraphs 76 and 77 (part of the Second Cause of Action for fraudulent misrepresentation) and in item 5 of the Prayer for Relief.

To recover punitive damages in a tort action, Civil Code section 3294 requires a plaintiff to prove by clear and convincing evidence “that the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code, § 3294, subd. (a); see also *College Hosp., Inc. v. Super. Ct.* (1994) 8 Cal.4th 704, 721; *Smith v. Super. Ct.* (1992) 10 Cal.App.4th 1033, 1042.)

“Malice” is defined in section 3294, subdivision (c)(1), as “conduct which is intended by the defendant to cause injury” or “despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.”

“Oppression” is defined in section 3294, subdivision (c)(2), as “despicable conduct subjecting a person to cruel and unjust hardship in conscious disregard of that person’s rights.”

“Fraud” is defined in section 3294, subdivision (c)(3), as “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.”

The term “despicable conduct,” as used in subdivisions (c)(1) and (c)(2), has been defined in the case law as actions that are “base,” “vile,” or “contemptible.” (See, e.g., *College Hospital*, supra, 8 Cal.4th at p. 725; *Shade Foods, Inc. v. Innovative Products Sales & Marketing, Inc.* (2000) 78 Cal. App. 4th 847, 891; see also CACI 3940 [“Despicable conduct is conduct that is so vile, base, or contemptible that it would be looked down on and despised by reasonable people.”].)

A plaintiff

seeking punitive damages must include in the complaint “specific factual allegations showing that defendant’s conduct was oppressive, fraudulent, or malicious.” (Today’s IV, Inc. v. Los Angeles County Metropolitan Transit Authority (2022) 83 Cal.App.5th 1137, 1193; see also Anschutz Entertainment Group, Inc. v. Snepp (2009) 171 Cal.App.4th 598, 643; Smith, supra, 10 Cal.App.4th at pp. 1041-1042; 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial (2025), ¶ 6:158.). “Punitive damages may not be pleaded generally.” (Today’s IV, Inc., supra, 83 Cal.App.5th at p. 1193; see also Spinks v. Equity Residential Briarwood Apartments (2009) 171 Cal.App.4th 1004, 1055–56.)

Pleading negligence, gross negligence, or even recklessness is not sufficient. (Dawes v. Super. Ct. (1980) 111 Cal. App. 3d 82, 87.) Rather, a plaintiff must allege facts demonstrating that the defendant intended to cause harm to plaintiff or “acted in such an outrageous and reprehensible manner that the jury could infer that [the defendant] knowingly disregarded the substantial certainty of injury to others.” (Id. at p. 90; see also, e.g., American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton (2002) 96 Cal.App.4th 1017.)

Here, Baek’s request for punitive damages is closely tied to his cause of action for fraud. As the Court is sustaining (with leave to amend) the demurrer to the fraud cause of action, the Court also grants (with leave to amend) the motion to strike.

The Court also notes that, at least at the present, Baek has no surviving causes of action against Esguerra and the only surviving causes of action against Tishbi sounds in contract (breach of contract, unjust enrichment, and declaratory relief). Punitive damages are not generally not available in actions based on contract.

The motion to strike is granted with leave to amend.

MOTION NO. 3: DEMURRER OF
CROSS-DEFENDANT DIETZ (Demurrer filed May 14, 2026)

Legal Standard

Please see above under Motion No. 1.

Discussion

Cross-Defendant Dietz demurs to all causes of action asserted against in the FACC (the Second, Third, Fourth, and Fifth).

The demurrer to the Second Cause of Action is sustained with leave to amend, for the same reasons set forth above under Motion No. 1. In addition, to allege a cause of action for intentional misrepresentation against a corporation or other entity, a plaintiff must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.) Baek has not done so.

The demurrer to the Third Cause of Action is sustained with leave to amend, for the same reasons set forth above under Motion No. 1.

The demurrer to the Fourth Cause of Action is sustained with leave to amend, for the same reason set forth above under Motion No. 2 as to Cross-Defendant Esguerra.

The demurrer to the Fifth Cause of Action is sustained with leave to amend, for the same reason set forth above under Motion No. 2 as to Cross-Defendant Esguerra.

MOTION NO. 4: MOTION OF CROSS-DEFENDANT DIETZ TO STRIKE (Motion filed May 14, 2026)

Legal Standard

Please see above under Motion No. 2.

Discussion

Cross-Defendant Dietz moves to strike a number of passages from the FACC. As Dietz's demurrer to

all causes of action asserted against in the FACC is being sustained (with leave to amend), the motion to strike is denied as moot.

MOTION NO. 5: MOTION OF BAEK TO COMPEL TISHBI TO PROVIDE FURTHER RESPONSES TO REQUESTS FOR PRODUCTION (SET ONE) (Motion filed June 8, 2026)

Legal Standard

“On receipt of a response to a demand for inspection, copying, testing, or sampling, the demanding party may move for an order compelling further response to the demand if the demanding party deems that any of the following apply: (1) A statement of compliance with the demand is incomplete. (2) A representation of inability to comply is inadequate, incomplete, or evasive. (3) An objection in the response is without merit or too general.” (Code Civ. Proc., § 2031.310, subd. (a).)

Notice of a motion to compel further responses must be given “within 45 days of the service of the verified response, or any supplemental verified response, or on or before any specific later date to which the propounding party and the responding party have agreed in writing.” (Id., subd. (c).)

A motion to compel further responses must set forth specific facts showing good cause for the discovery and must be accompanied by a meet-and-confer declaration and a separate statement or, in the discretion of the Court, a “concise outline of the discovery request and each response in dispute.” (Id., subd. (b)(1)-(3); Cal. Rules of Court, rule 3.1345.)

“[T]he court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response to a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code Civ. Proc., § 2031.310, subd. (h).)

In Chapter 7 of the Civil Discovery Act, Code of Civil Procedure section 2023.030, subdivision (a) provides, in pertinent part, that the court may impose a monetary sanction ordering

that any person “engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney’s fees, incurred by anyone as a result of that conduct.” A “misuse of the discovery process” includes (among other things) failing to respond or to submit to an authorized method of discovery; making, without substantial justification, an unmeritorious objection to discovery; making an evasive response to a discovery request; disobeying a court order to provide discovery; and making or opposing, unsuccessfully, a motion to compel without substantial justification. (Code Civ. Proc., § 2023.010, subds. (d)-(h).)

Discussion

Baek moves to compel Tishbi to provide further responses to Requests for Production Nos. 1-8, 10-11, 14-18, 22-24, and 27-31.

Requests Nos. 1-8, 10-11, 14-18, 22-24, and 27-31

The objections are overruled.

There is no justification for Tishbi’s unilateral refusal to produce documents until a court ruling. Tishbi’s statements in response to most of these requests that he will produce “any non-privileged documents responsive to this Request [that] exist within Responding Party’s personal possession, custody, or control after a diligent search and reasonably inquiry – and were not previously produced in Responding Party’s prior document productions in this litigation” are entirely improper, evasive, and not Code compliant. They leave Baek to guess as to whether any documents will be produced.

Code of Civil Procedure section 2031.210 (as amplified by sections 2031.220, 2031.230, and 2031.240) sets forth the permissible responses to a request for production and must be followed.

The responses to Requests Nos. 18, 22, 28, 29, 30, and 31 are different in content but also fail to comply with the Code.

Request No. 27 is narrowed as set forth in the briefing.

Good cause has been shown.

The motion is granted as to all requests.

Any documents withheld on the basis of privilege must be

identified in a privilege log that complies with all legal requirements.

Baek's request for an order compelling the production of documents is denied without prejudice.

Tishbi's responses are so opaque and incomprehensible that it is unclear whether Tishbi is stating that he has responsive documents (and will comply), that he is unable to comply (in which case he must provide a written response that meets the requirements of Code of Civil Procedure section 2031.230), or that he has responsive documents that he contends are privileged (in which case a privilege log must be produced).

Baek's request for sanctions is denied. The Court finds that Tishbi and his counsel have engaged in conduct that is a misuse of the discovery process. Baek, however, has not provided the Court with any evidence of expenses incurred by him.

Tishbi's request for sanctions is denied. Baek has not made an unsuccessful motion to compel, and in the context of this dispute any award of sanctions against Baek would not be just under all of the circumstances.

MOTION NO. 6: MOTION OF BAEK TO COMPEL ESGUERRA TO PROVIDE FURTHER RESPONSES TO REQUESTS FOR PRODUCTION (SET ONE) AND REQUESTS FOR ADMISSION (SET ONE) (Motion filed June 10, 2026)

Legal Standard

The legal standard for a motion to compel further responses to requests for production is set forth above in connection with Motion No. 5.

"On receipt of a response to requests for admissions, the party requesting admissions may move for an order compelling a further response if that party deems that either or both of the following apply: (1) An answer to a particular request is evasive or incomplete. (2) An objection to a particular request is without merit or too general." (Code Civ. Proc., § 2033.290, subd. (a).)

Notice of a motion to compel further responses must be given "within 45 days of the service of the verified response, or any supplemental verified response, or any specific later date to which the requesting party and the responding party have agreed in writing." (Id., subd. (c).)

A motion to compel further responses must be accompanied by a meet-and-confer declaration and a separate statement or, in the discretion of the Court, a "concise outline of the discovery request and each response in dispute." (Id., subd. (b)(1) & (b)(2); Cal. Rules of Court, rule 3.1345.)

"The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (Code Civ. Proc., § 2033.290, subd. (d).)

In Chapter 7 of the Civil Discovery Act, Code of Civil Procedure section 2023.030, subdivision (a) provides, in pertinent part, that the court may impose a monetary sanction ordering that any person "engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct." A "misuse of the discovery process" includes (among other things) failing to respond or to submit to an authorized method of discovery; making, without substantial justification, an unmeritorious objection to discovery; making an evasive response to a discovery request; disobeying a court order to provide discovery; and making or opposing, unsuccessfully, a motion to compel without substantial justification. (Code Civ. Proc., § 2023.010, subs. (d)-(h).)

Discussion

Baek moves to compel a further response to Request for Admission No. 12 and Requests for Production Nos. 3-10, 12, 14, 16, 18, and 19.

Request for Admission No. 12

The motion to compel a further response to this request is denied. Baek has not shown that the response is necessarily inconsistent with Esguerra's other discovery responses.

Request for Production Nos. 3-10, 12,

14, 16, 18, 19

The objections are overruled.

There is no justification for Esguerra's unilateral refusal to produce documents until a court ruling.

Esguerra's statements in response to some of these requests that he will produce "any non-privileged documents responsive to this Request [that] exist within Responding Party's personal possession, custody, or control after a diligent search and reasonably inquiry" are entirely improper, evasive, and not Code compliant. They leave Baek to guess as to whether any documents will be produced.

Code of Civil Procedure section 2031.210 (as amplified by sections 2031.220, 2031.230, and 2031.240) sets forth the permissible responses to a request for production and must be followed.

The responses to Requests Nos. 4, 7, 8, 10, 12, 16, 18 are different in content but also fail to comply with the Code.

The objections to Request No. 14 are overruled.

Good cause has been shown.

The motion is granted as to all requests.

Any documents withheld on the basis of privilege must be identified in a privilege log that complies with all legal requirements.

Baek's request for an order compelling the production of documents is denied without prejudice.

Esguerra's responses are so opaque and incomprehensible that it is unclear whether Esguerra is stating that he has responsive documents (and will comply), that he is unable to comply (in which case he must provide a written response that meets the requirements of Code of Civil Procedure section 2031.230), or that he has responsive documents that he contends are privileged (in which case a privilege log must be produced).

Baek's request for sanctions is denied. The Court finds that Esguerra and his counsel have engaged in conduct that is a misuse of the discovery process. Baek, however, has not provided the Court with any evidence of expenses incurred by him.

Esguerra's request for sanctions is denied. Baek has not made an unsuccessful motion to

compel, and in the context of this dispute any award of sanctions against Baek would not be just under all of the circumstances.

MOTION NO. 7: MOTION OF BAEK TO COMPEL DIETZ TO
PROVIDE INITIAL RESPONSES TO REQUESTS FOR PRODUCTION (SET ONE) (Motion filed
June 15, 2026)

Legal Standard

A party must
respond to requests for production of documents within 30 days after service.
(Code Civ. Proc., § 2031.260, subd.(a).) If a party to whom requests for
production of documents are directed does not provide timely responses, the
requesting party may move for an order compelling response to the demand. (Code
Civ. Proc., § 2031.300, subd. (b).) There is no time limit for a motion to
compel initial responses, and no meet and confer efforts are required. (See id.,
§ 2031.300; Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare
Consultants (2007) 148 Cal.App.4th 390, 411.) Nor must a separate statement
be filed. (Cal. Rules of Court, rule 3.1345(b)(1).) In addition, a party who fails to provide a
timely response generally waives all objections. (Code Civ. Proc., § 2031.300, subd. (a).)

When a party moves to compel initial responses to
requests for production, “the court shall impose a monetary sanction under
Chapter 7 (commencing with Section 2023.010) against any party, person, or
attorney who unsuccessfully makes or opposes [the motion], unless it finds that
the one subject to the sanction acted with substantial justification or that
other circumstances make the imposition of the sanction unjust.” (Code Civ. Proc., § 2031.300, subd.
(c).)

In Chapter 7 of the Civil Discovery Act, Code
of Civil Procedure section 2023.010, subdivision (d), defines “[m]isuses of the
discovery process” to include “[f]ailing to respond to or to submit to an
authorized method of discovery.” Where a
party or attorney has engaged in misuse of the discovery process, the court may
impose a monetary sanction in the amount of “the reasonable expenses, including
attorney’s fees, incurred by anyone as a result of that conduct.” (Code Civ. Proc., § 2023.020, subd.
(a).)

Discussion

Baek moves to compel Dietz to serve initial responses to Requests for Production (Set One).

The Court exercises its discretion to consider Dietz's late-filed opposition, as well as Baek's reply to the opposition.

The discovery was initially served on April 25, 2026. (Baek Decl., ¶ 3.) This was premature and not valid service. (Code Civ. Proc., § 2031.020, subd. (b).)

Baek re-served the discovery on May 29, 2026. (Baek Decl., ¶ 8.) This was proper. Assuming service by email, the deadline for Dietz to respond was on or about July 1, 2026.

Baek filed this motion prematurely, on June 15. The motion was initially set for hearing on July 9. The Court then continued the hearing (for reasons unrelated to the premature filing) to July 13, and then to August 18.

Regardless of the premature filing of the motion, Dietz's responses are now long overdue.

Baek has served discovery and Dietz has failed to respond. The motion to compel is granted.

Baek's request for sanctions is denied. The Court finds that Dietz and its counsel have engaged in conduct that is a misuse of the discovery process. Baek, however, has not provided the Court with any evidence of expenses incurred by him.

CONCLUSION

Motion No. 1.

The Court SUSTAINS IN PART and OVERRULES IN PART the demurrer (filed May 1, 2026) to the First Amended Cross-Complaint by Cross-Defendants Tishbi and Esguerra

The demurrer is sustained as to the Second Cause of Action, the Third Causes of Action, the Fourth Cause of Action (as to Cross-Defendant Esguerra only), and the Fifth Cause of Action (as to Cross-Defendant Esguerra only).

The demurrer is otherwise overruled.

The Court GRANTS Cross-Complainant Baek LEAVE to file a Second Amended Cross-Complaint addressing the pleading defects identified in this ruling (only) by no later than September 1, 2026. (Any other amendment requires a court order following a noticed motion or stipulation of all parties.)

Motion No. 2.

The Court GRANTS the motion (filed May 4, 2026) of Cross-Defendants Tishbi and Esguerra to strike the punitive damages allegations in the FACC.

The Court GRANTS Cross-Complainant Baek LEAVE to file a Second Amended Cross-Complaint addressing the pleading defects identified in this ruling (only) by no later than September 1, 2026. (Any other amendment requires a court order following a noticed motion or stipulation of all parties.)

Motion No. 3.

The Court SUSTAINS the demurrer (filed May 14, 2026) of Cross-Defendant Dietz to the FACC.

The Court GRANTS Cross-Complainant Baek LEAVE to file a Second Amended Cross-Complaint addressing the pleading defects identified in this ruling (only) by no later than September 1, 2026. (Any other amendment requires a court order following a noticed motion or stipulation of all parties.)

Motion No. 4.

The Court DENIES AS MOOT the motion (filed May 15, 2026) of Cross-Defendant Dietz filed a motion to strike certain allegations in the FACC.

Motion No. 5.

The Court GRANTS IN PART the motion (filed June 8, 2026) of Cross-Complainant Baek to compel Cross-Defendant Tishbi to serve further responses to Requests for Production (Set One).

The Court ORDERS Tishbi to serve code compliant, verified, further responses to Requests for Production Nos. 1-8, 10-11, 14-18, 22-24, and 27-31, without objections, and consistent with the requirements of this ruling, by no later than September 1, 2026.

The motion is otherwise denied (including the requests for sanctions).

Motion No. 6.

The Court GRANTS IN PART the motion (filed June 10, 2026) of Cross-Complainant Baek to compel Cross-Defendant Esguerra to serve further responses to Requests for Production (Set One) and Requests for Admission (Set One).

The Court ORDERS Esguerra to serve code compliant, verified, further responses to Requests for Production Nos. 3-10, 12, 14, 16, 18, and 19 without objections, and consistent with the requirements of this ruling.

Because the Court (in Motion No. 1) is sustaining, with leave to amend, the demurrer of Esguerra to all causes of action asserted against him in the FACC, Esguerra's obligation to comply with this Order is conditioned on Baek filing a Second Amended Cross-Complaint that asserts one or more causes of action against Esguerra. If Baek does so, Esguerra must comply with this Order by no later than September 1, 2026.

The motion is otherwise denied (including the requests for sanctions).

Motion No. 7.

The Court GRANTS IN PART the motion (filed June 15, 2026) of Cross-Complainant Baek to compel Cross-Defendant Dietz to

serve verified initial responses to Requests for Production (Set One).

The Court ORDERS Dietz to serve code compliant, verified, responses to Requests for Production (Set One) without objections.

Because the Court (in Motion No. 3) is sustaining, with leave to amend, the demurrer of Dietz to all causes of action asserted against it in the FACC, Dietz's obligation to comply with this Order is conditioned on Baek filing a Second Amended Cross-Complaint that asserts one or more causes of action against Dietz.

If Baek does so, Dietz must comply with this Order by no later than September 15, 2026.

The request for sanctions is denied.

The Judicial Assistant is directed to give notice.